deductible, you'll pay a premium of $445 a month. If you choose a $2,000 deductible, you'll pay just $157 a month—65% less. The same principle applies to renters insurance, homeowners insurance, and auto insurance.

This rule isn't right for everyone, of course. It makes sense to choose a lower premium only if you have enough savings to cover the higher deductible. Also, with policies that have higher deductibles, you'll end up regularly covering certain costs yourself—for example, routine physicals or minor car and home repairs. But pay attention to your individual situation. If you tend to go to the doctor a lot or you're prone to car accidents, a lower deductible might make more sense. Otherwise, a higher deductible is probably a smart option.

CAR INSURANCE: YOU'D BETTER SHOP AROUND

Lainie, 24, was about to move from New York City to Washington, D.C., and had to purchase auto insurance for her 2004 Ford Taurus. With just three phone calls to insurance companies, she was able to reap the rewards of shopping around. She gave each company representative the same information: She wanted a $500 deductible, had a spotless driving record, wouldn't be using the car to commute to work, and would be driving only about 2,000 miles a year. One firm quoted Lainie an annual rate of $2,192. Another firm said it charged $3,110 a year. The third firm quoted her an annual rate of just $1,322. An added bonus: When Lainie mentioned that she was turning 25 in a few months, the agent at the third firm said she should call back a month before her twenty-fifth birthday and she'd get a $194 discount. (The other two also offered discounts for turning 25, although they were smaller.) The bottom line: In just 20 minutes Lainie saved almost $2,000 by comparison shopping.

CHECKING OUT CREDENTIALS